AdaniConneX

Data Center Expansion Project

Capital Budgeting Analysis Using NPV, IRR, Payback Period & Profitability Index

₹8,000 Cr
Initial Investment

10 Years
Project Life

11%
WACC

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Project Overview

INDUSTRY

Data Center Infrastructure

Hyperscale & Colocation

CURRENT CAPACITY

51 MW

Operational as of 2024

TARGET CAPACITY

1 GW

By 2030

PROJECT

AdaniConneX Data Center Expansion

A joint venture between Adani Enterprises and EdgeConneX targeting hyperscale data center capacity across India.

INVESTMENT OBJECTIVE

Evaluate whether a ₹8,000 Cr capacity expansion from 51 MW to 1 GW creates long-term shareholder value using capital budgeting frameworks: NPV, IRR, Payback Period, and Profitability Index.

₹8,000 Cr	10 Yrs	11%	25%
Initial Investment	Project Horizon	WACC	Tax Rate

STRATEGIC RATIONALE

Why This Project?

Four structural demand drivers underpin the investment thesis

01

AI & GenAI Demand

Rapid proliferation of AI workloads is creating exponential demand for GPU compute infrastructure. India's AI market projected to reach $6B by 2025.

02

Cloud Computing Growth

Hyperscalers (AWS, Azure, GCP) are aggressively expanding Indian cloud regions. Total cloud market CAGR of 28% through 2027.

03

Data Localization

India's DPDP Act mandates critical data residency within Indian borders, creating regulatory-driven structural demand for domestic data center capacity.

04

Digital Infrastructure Gap

India has only 0.1% of global data center capacity despite 4th-largest internet user base. Structural undersupply creates durable long-term pricing power.

Capital Budgeting Assumptions

Initial Investment

₹8,000 Cr

Total Capex at Year 0

WACC

11.0%

Weighted Avg Cost of Capital

Tax Rate

25%

WORKING CAPITAL = 5% of REVENUE

Corporate Tax Rate

Incremental working capital investment scales linearly with revenue growth across all 10 project years.

REVENUE GROWTH TRAJECTORY

30%

Annual Revenue Growth

YEARS 1–5

18%

Annual Revenue Growth

YEARS 6–10

5%

Working Capital

of Revenue

Variable

Operating Expenses

Scale with Revenue

SLM Method

Depreciation

Straight Line

Year 10

Project Terminal

Terminal Value Considered; Salvage Value Not Modeled

CASH OUTFLOWS

Cash Outflows Analysis

Initial Investment
₹8,000 Cr

Year 0 Capex — Land, Construction, Equipment

Expansion Capex
Phased

Additional infrastructure investments in Years 3–7

Operating Expenses
Variable

Power, cooling, maintenance — scales with revenue

Working Capital
5% Rev

Incremental WC tied to revenue growth each year

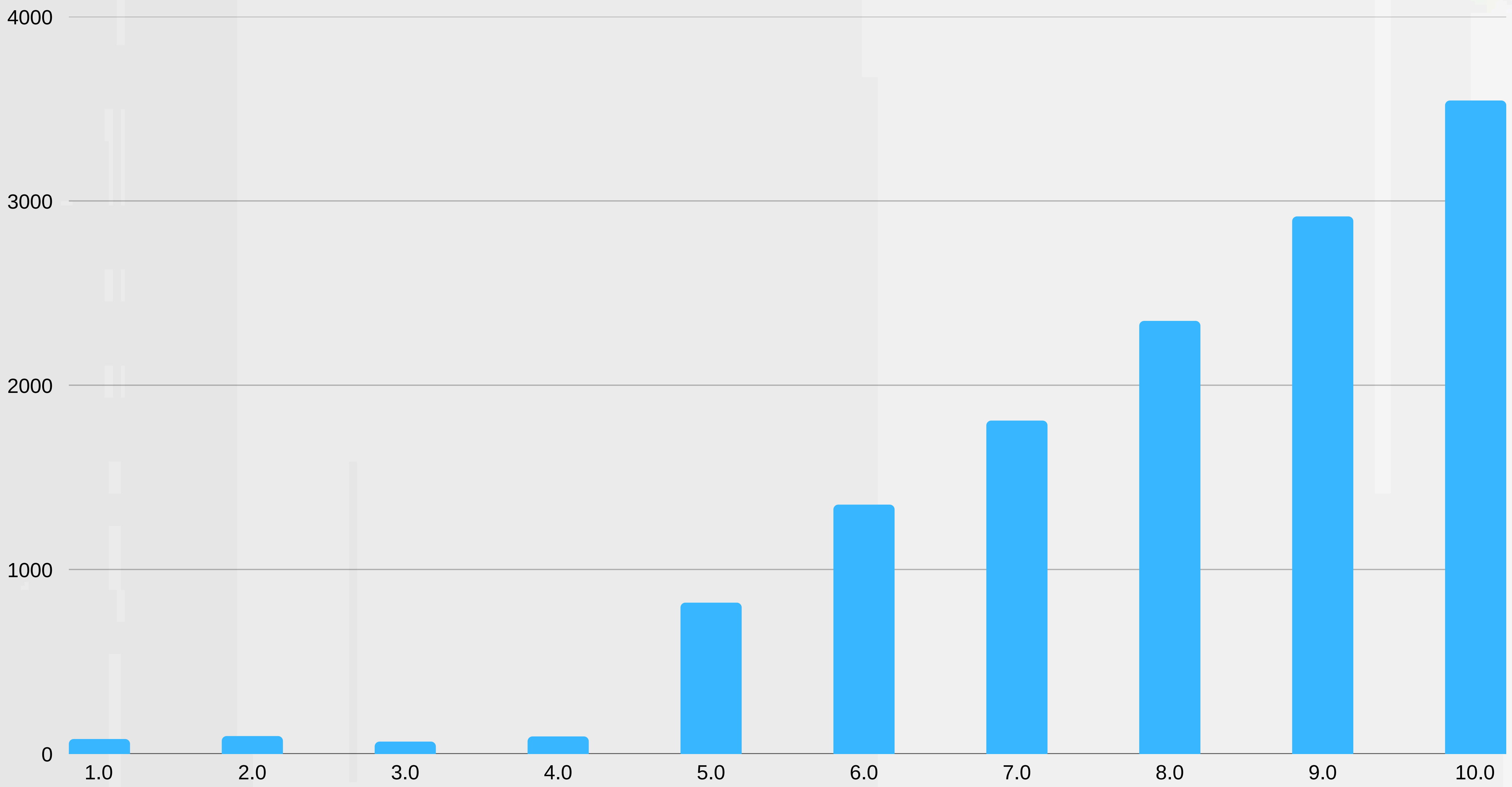
Taxes
25%

Corporate tax on operating profits after depreciation

⚠️ *Total outflow profile is front-loaded — ₹8,000 Cr at Year 0 constitutes the dominant capital call. Subsequent outflows are operating in nature.*

Cash Inflows Analysis

Revenue ramp-up drives significant free cash flow generation in Years 6–10



₹1,156 Cr

Phase 1 FCF (Y1-5) — Ramp-up phase total

₹11,970 Cr

Phase 2 FCF (Y6-10) — Mature operations total

₹13,126 Cr

Total Undiscounted Free Cash Inflows — Gross undiscounted

30% → 18%

Revenue Growth — Phase transition at Y6

KEY INSIGHT

93% of total free cash flow generation occurs in the mature phase (Y6–10), validating the long-term value creation thesis.

Year-Wise Cash Flow Statement

YEAR	NET Project CASH FLOW (₹ Cr)	PHASE
Year 0	(₹8,000)	Investment
Year 1	₹80	Ramp-Up
Year 2	₹96	Ramp-Up
Year 3	₹66	Ramp-Up
Year 4	₹94	Ramp-Up
Year 5	₹820	Ramp-Up
Year 6	₹1,352	Mature
Year 7	₹1,808	Mature
Year 8	₹2,349	Mature
Year 9	₹2,916	Mature
Year 10	₹3,545	Mature

TOTAL UNDISCOUNTED FREE CASH FLOWS: ₹13,126 CR | INITIAL INVESTMENT: ₹8,000 CR | GROSS SURPLUS: ₹5,126 CR

NPV & IRR Analysis

NET PRESENT VALUE

₹3,967 Cr

Discounted at WACC of 11% over 10 years

✓ NPV > 0 → Project CREATES Shareholder Value

VERDICT: ACCEPT

INTERNAL RATE OF RETURN

22.4%

IRR vs WACC Comparison

WACC: 11%

IRR: 22.4%

Spread: +11.4%

✓ NPV > 0

Value Creating

✓ IRR > WACC

+11.4% Spread

✓ ACCEPT

Project Viable

Payback Period & Profitability Index

PAYBACK PERIOD

8.6 Years

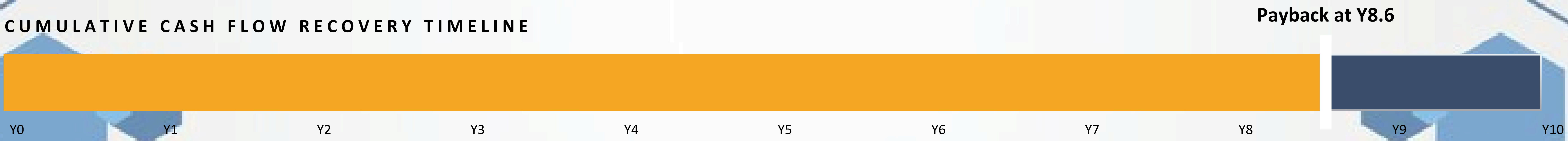
Within the 10-year project horizon — Investment fully recovered before maturity

PROFITABILITY INDEX

1.496

PI > 1.0 → Every ₹1 invested returns ₹1.50 in present value

CUMULATIVE CASH FLOW RECOVERY TIMELINE



WACC SENSITIVITY — NPV IMPACT

WACC	8%	9%	11% (Base)	13%	15%
NPV (₹ Cr)	₹5,410	₹4,660	₹3,967	₹2,780	₹1,850
Decision	ACCEPT ✓	ACCEPT ✓	ACCEPT ✓	ACCEPT ✓	ACCEPT ✓

INVESTMENT VERDICT

ACCEPT PROJECT

AdaniConneX Data Center Expansion — Capital Budgeting Analysis

√

NPV: ₹3,967 Cr

Positive NPV — Project creates shareholder value

√

IRR: 22.4% > WACC

11.4% spread over cost of capital — value-accretive

√

Payback: 8.6 Yrs

Capital recovered within the 10-year project life

√

PI: 1.496

Every ₹1 invested generates ₹1.50 in present value

The AdaniConneX Data Center Expansion satisfies all four capital budgeting criteria. With strong macroeconomic tailwinds from AI proliferation, data localization mandates, and cloud infrastructure demand, the project presents a compelling long-term value creation opportunity.

THANK YOU